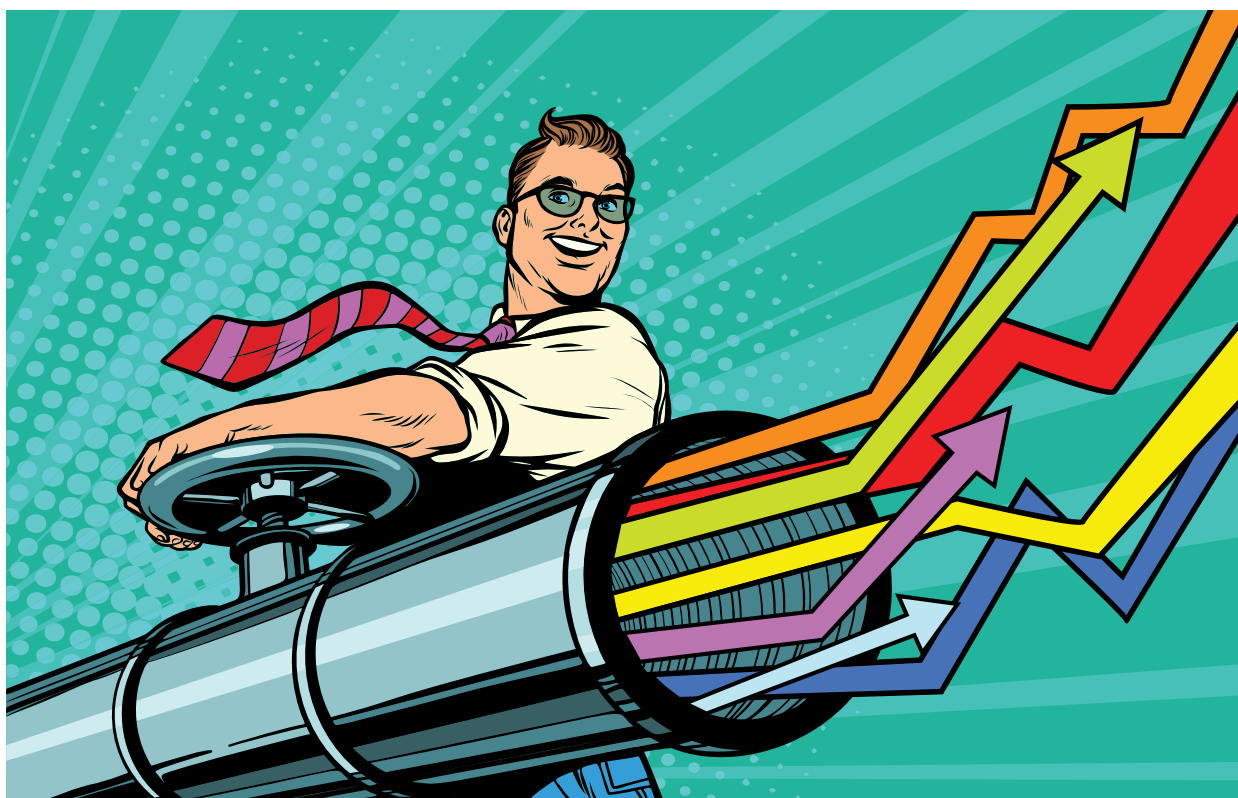




certainty about what they will get on maturity by locking them into a fixed yield-to-maturity (YTM). The NAV moves up or down in between but, closer to maturity, settles near the locked-in yield. This makes TMFs simple, predictable, and useful for goal-based investments. “The returns from actively managed debt funds, on the other hand, are dependent on the manager’s skill in changing duration and capturing mark-to-market gains when interest rates fall. Active funds can beat TMFs but also carry higher volatility and risk,” says Kothari. Investors must compare a TMF’s locked-in yield with the track record of active funds and choose based on their risk appetite.

LADDERING LIKE A PRO

One way to make the best use of TMFs is ‘laddering’, that is, investing in funds with different maturity dates so that a part of the portfolio matures every few years and gives steady cash flows. This also helps investors average out the interest rate cycle. “The ladder should match the investor’s cash-flow needs—shorter TMFs (three to five years) for near-term goals and liquidity, and longer TMFs (five to seven years) for higher yields in the future,” says Kothari.

Too much exposure to long maturities boosts

Ladder TMFs for Steady Cash Flow

Stagger investments across maturities to manage liquidity and yield

- ▶ Near-term TMFs (e.g., 2027): Cover immediate cash needs without disturbing long-term growth
- ▶ Longer-term TMFs (e.g., 2029): Lock in higher yields for future goals

Steady cash flows & smooth portfolio timing

- ▶ Laddering ensures part of the portfolio matures every few years, averaging out interest rate cycles

Align laddering with financial milestones

- ▶ Short-dated TMFs (3–5 yrs): Liquidity for near-term objectives
- ▶ Medium/long-dated TMFs (5–7 yrs): Higher returns, with some reinvestment uncertainty

Balanced laddering smoothens rate cycles while delivering attractive yields

Optimises cash flow without compromising long-term growth, ensuring liquidity and future returns